

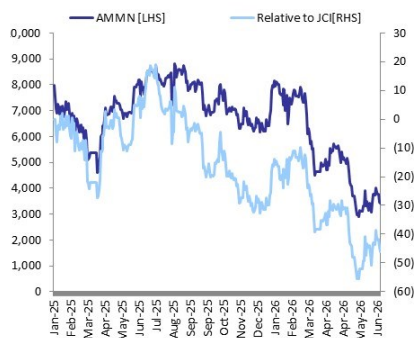
Buy

(Initiated)

Tactical (3M): **N**

Last Price (Rp)	3,340
Target Price (Rp)	6,000
Previous TP (Rp)	NA
Upside/Downside	+79.6%
No. of Shares (mn)	72,412
Mkt Cap (Rpbn/US\$m)	248,375/13,856
Avg, Daily T/O (Rpbn/US\$m)	337.5/18.8
Free Float (%)	19.1
Major Shareholder (%)	
PT Sumber Gemilang Persada	32.2
PT Medco Energi Internasional Tbk	20.9
EPS Consensus (US\$cents)	
	FY26F FY27F FY28F
BRIDS	1.3 2.0 2.8
Consensus	1.2 2.1 1.8
BRIDS/Cons (%)	4.5 (5.8) 49.8

AMMN relative to JCI Index



Source: Bloomberg

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Contribution by
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Amman Mineral Internasional (AMMN IJ)

From Pit to Cathode: Unlocking a New Earnings Cycle

- AMMN is entering a major FY26 earnings cycle as Batu Hijau's Phase-8 ramp-up restores ore volumes and grades.
- We forecast FY26F revenue of US\$4.0bn (+117% yoy) and EBITDA of US\$2.0bn (+97%) on higher Batu Hijau output (+130% yoy).
- We initiate with a Buy rating and SOTP-based TP of Rp6,000; downstream value-capture and Elang optionality offer upside.

Structural Copper Tightness and a Gold Floor Frame Price Backdrop

Copper demand is decoupling from the traditional construction cycle and increasingly tied to electrification, AI and data centers, EV adoption, and renewable grid build-out. Under BNEF's Economic Transition Scenario, energy-transition copper demand rises from c.9.9Mt in 2025 to c.14.3Mt by 2030, while supply lags and the market stay in deficit through FY27F. Gold adds a second leg, with central-bank buying, led by the PBoC's 19-month streak, providing a structural price floor. Combined, copper-gold fundamentals underpin a supportive multi-year price backdrop for integrated producers such as AMMN.

Phase 8 Recovery and Downstream Ramp-Up Drive an Earnings Reset

We believe AMMN is entering a major FY26F earnings cycle after a Phase-8 transition year. The inflection is already visible in 1Q26, with fresh ore mined rising to 38Mt (from 1Mt in 1Q25), lifting concentrate production to 167.8k dmt (+110% yoy), with 101Mlbs copper and 136koz gold. Crucially, AMMN is shifting from concentrator to integrated refiner, the smelter and PMR delivered 27.7kt copper cathode and 66.2koz refined gold in 1Q26 structurally upgrading revenue quality. The new processing plant (first ore 3Q26F) lifts capacity from c.40Mtpa to c.85Mtpa, supporting multi-year volume growth.

Initiate with Buy rating and SOTP-based TP of Rp6,000

We initiate coverage with a Buy rating and SOTP-based target price of Rp6,000. We forecast FY26F revenue growth of +153% yoy to US\$4.7bn and EBITDA growth of +150% to US\$2.56bn, with EBITDA margin expanding toward 63% by FY27F. AMMN trades at 6.7x FY26F EV/EBITDA, a discount to global copper-gold peers, as FY25 multiples were distorted by the transition year. Our SOTP captures Batu Hijau as the core cash-flow asset, the smelter/PMR as downstream value-capture, and risk-adjusted Elang NAV as long-dated optionality (WACC c.12.7%). Key risks: smelter downtime, processing-plant delays, copper/gold price correction, higher royalties, and slower Elang de-risking.

Key Financials

Year to 31 Dec	2024A	2025A	2026F	2027F	2028F
Revenue (US\$m)	2,664	1,847	4,001	4,287	4,868
EBITDA (US\$m)	1,457	1,027	2,024	2,673	3,300
EBITDA Growth (%)	49.3	(29.5)	97.0	32.1	23.5
Net profit (US\$m)	637	249	909	1,462	1,992
EPS (US\$cents)	0.9	0.3	1.3	2.0	2.8
EPS growth (%)	152.6	(60.9)	265.1	60.9	36.2
BVPS (US\$cents)	7.1	7.4	8.7	10.7	13.5
PER (x)	21.8	55.7	15.2	9.5	7.0
PBV (x)	2.7	2.6	2.2	1.8	1.4
EV/EBITDA (x)	14.5	27.7	12.3	8.0	5.6

Source: AMMN, BRIDS Estimates

Investment Thesis

Phase 8 recovery drives AMMN's fresh earnings growth cycle

We believe AMMN is entering major earnings cycle after FY25 was distorted by the Phase 8 transition, limited fresh ore access, and low-grade stockpile processing. The recovery is already visible in 1Q26, with fresh ore rising to 38Mt from only 1Mt in 1Q25, while copper grade improved to 0.53% and gold grade to 0.54g/t. This drove concentrate production to 167.8k dmt (+110% yoy), containing 101Mlbs copper (+173% yoy) and 136koz gold (+321% yoy). We forecast FY26F concentrate production of 884k dmt, broadly aligned with management guidance of 900k dmt.

Smelter and PMR ramp-up upgrades earnings quality

AMMN's transition from concentrator to integrated refined-metal producer should structurally improve revenue quality from FY26F onward. The smelter and PMR produced 27.7kt copper cathode and 66.2koz refined gold in 1Q26 despite annual maintenance, equivalent to c.50% and c.46% output rates, respectively. With the concentrate export permit expiring in Apr-26, AMMN is shifting toward LME Grade A copper cathode and LBMA-standard refined gold sales. We assume FY26F smelter utilization of c.65%, producing c.122kt copper cathode and c.305koz refined gold, with remaining PGT completion targeted in 3Q26F.

Integrated asset base supports medium-term margin expansion

We see AMMN's integrated infrastructure as a key differentiator versus domestic mining peers. Batu Hijau provides near-term volume recovery, while the smelter, PMR, expanded processing plant, LNG regasification facility, and CCPP support a more integrated cost and revenue structure. The new processing plant is expected to process first ore in 3QF6F, lifting input capacity from c.40Mtpa to c.85Mtpa. This should support higher throughput, stronger refined-metal sales, and lower reliance on transitional concentrate revenue, although 2H26F remains exposed to commissioning risk.

Initiate with Buy rating and SOTP-based TP of Rp6,000

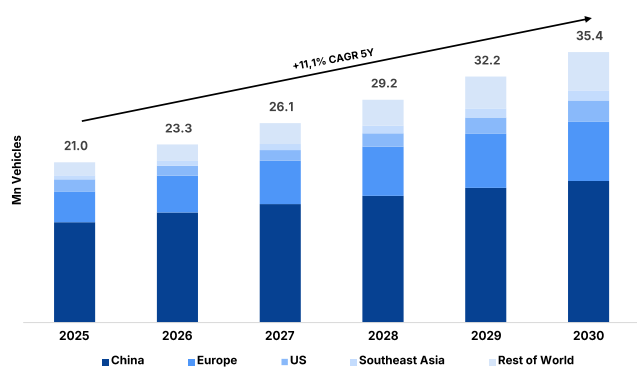
We initiate coverage with a Buy rating and SOTP-based target price of Rp6,000/sh. We forecast 26F revenue to rise to US\$4.0bn (+117% yoy) and EBITDA to US\$2.0bn (+97% yoy), supported by Phase 8 output recovery, higher refined product sales, and supportive copper-gold prices. Our SOTP captures Batu Hijau as the core operating cash-flow asset, smelter/PMR as downstream value-capture assets, and risk-adjusted Elang NAV as long-dated growth optionality. Key downside risks include smelter downtime, processing plant delays, copper/gold price correction, higher royalty burden, and slower Elang de-risking.

Industry Overview

AI, EVs, and Renewables Reinforce Copper's Demand Runway

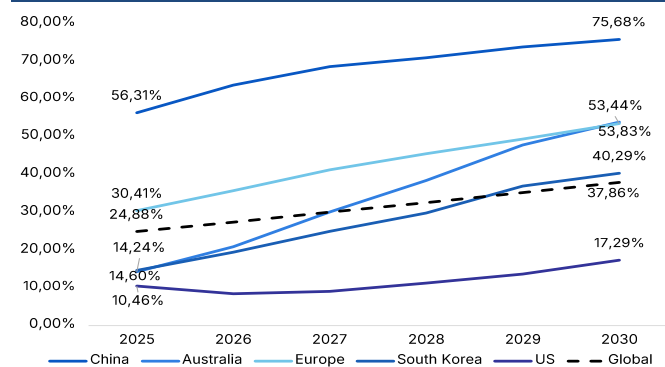
Copper demand is becoming less dependent on the traditional construction cycle and increasingly tied to the build-out of electricity infrastructure. We see three demand layers working together: AI and data centers are increasing power consumption, EV adoption is lifting electricity use and charging needs, and renewable power additions require more grid, storage, and transmission investment. This matters because electrification does not only create copper demand at the point of end-use, but across the full power value chain, from generation and grid connection to storage, charging, and electrical equipment.

Exhibit 1. Global near-term passenger EV sales by market



Source: BNEF, BRIDS

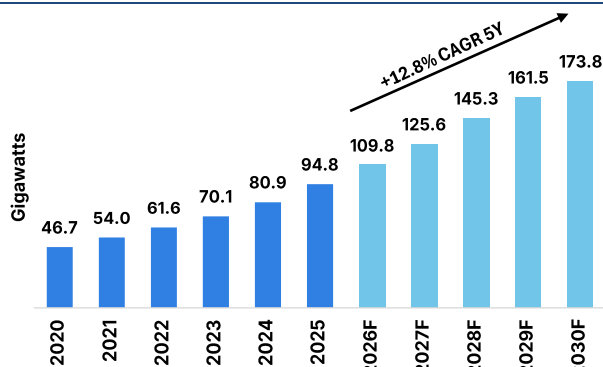
Exhibit 2. Global near-term EV share sales by market



Source: BNEF, BRIDS

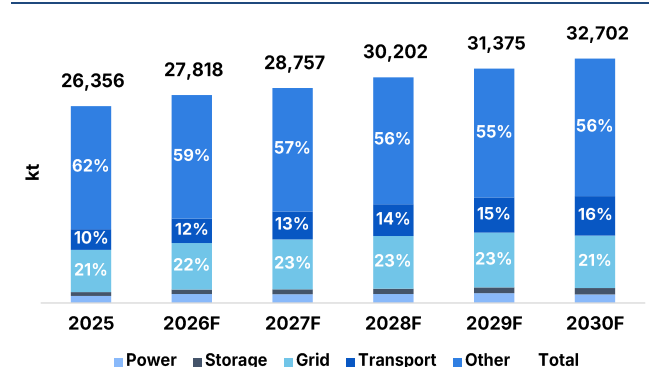
The demand uplift is already visible in energy-transition forecasts. Global data-center electricity demand is expected to rise from c.371TWh in 2024 to c.935–946TWh by 2030, based on the IEA Electricity 2025, turning AI from a technology theme into a visible infrastructure driver. Under BloombergNEF's Economic Transition Scenario, copper demand from energy-transition sectors is expected to increase from c.9.9Mt in 2025 to c.14.3Mt by 2030, led by grid and transport demand. Grid-related copper demand rises from c.5.7Mt to c.7.0Mt, while transport demand nearly doubles from c.2.8Mt to c.5.3Mt. In our view, this supports a structurally stronger demand base for copper, even if near-term macro demand remains cyclical.

Exhibit 3. Data center capacity outlook



Source: BNEF, BRIDS

Exhibit 4. Global copper demand by sector



Source: BNEF, BRIDS

Supply response lags as project pipeline offers limited near-term relief

While copper demand is becoming more infrastructure-driven, supply is unlikely to respond quickly enough in the near term. We estimate copper demand will grow ~2-3% p.a through FY30F, while the market remains in deficit through FY27F. We estimate the shortfall will widen from ~209kt in FY25 to ~301kt in FY26F, before narrowing to ~137kt in FY27F and moving into surplus from FY28F. This keeps the market sensitive to disruptions, as meaningful new supply still requires long approval, financing, and development timelines.

Exhibit 5. Global refined copper supply and demand

	Unit	2023	2024	2025	2026F	2027F	2028F	2029F	2030F
Refined Demand	kt	25,820	26,730	27,681	28,315	29,002	29,734	30,372	31,115
<i>yoy change</i>	<i>%</i>	<i>3.0%</i>	<i>3.5%</i>	<i>3.6%</i>	<i>2.3%</i>	<i>2.4%</i>	<i>2.5%</i>	<i>2.1%</i>	<i>2.4%</i>
Refined Supply	kt	25,630	26,680	27,472	28,014	28,865	29,795	30,632	31,438
<i>yoy change</i>	<i>%</i>	<i>1%</i>	<i>4.1%</i>	<i>3.0%</i>	<i>2.0%</i>	<i>3.0%</i>	<i>3.2%</i>	<i>2.8%</i>	<i>2.6%</i>
Balance	kt	-190	-50	-209	-301	-137	61	260	323
<i>change</i>	<i>kt</i>	<i>-390</i>	<i>140</i>	<i>-159</i>	<i>-92</i>	<i>164</i>	<i>198</i>	<i>199</i>	<i>63</i>

Source: Bloomberg, BRIDS Estimates

Recent project updates suggest limited near-term supply relief.

Several announced developments are either efficiency initiatives or long-dated projects, rather than material new supply additions before 2030. Codelco's Calama district integration and Southern Copper's Cuajone upgrade should improve operating efficiency, but they are not major new supply sources. Among clearer pre-20FY30F additions, Zijin Mining and Jinchuan's Xiongcun project is expected to add only c.50ktpa of copper at full capacity, with commissioning targeted for Jul-29F. Larger projects such as Mingomba, Vicuña, and Bougainville/Panguna are more relevant for the early 2030s or remain subject to development uncertainty. This leaves the market more dependent on existing mine performance than on near-term greenfield additions.

Exhibit 6. Near-term Mine Development Project Updates

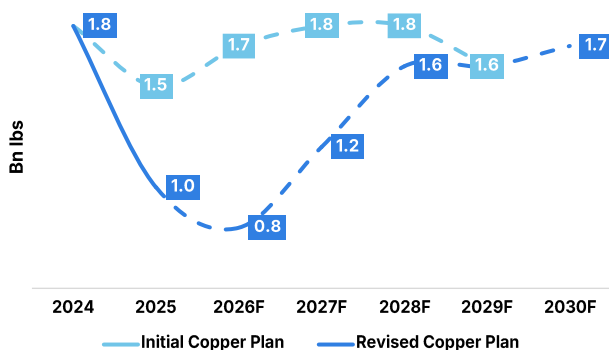
Company	Project	Potential Supply Impact	Timing
Codelco	Chuquicamata Integration	Efficiency-driven; negligible new supply	Target benefit by 2027F
Southern Copper	Cuajone Upgrade	Operational continuity; limited supply growth	17-month upgrade period
Zijin/Jinchuan	Xiongcun	~50ktpa copper addition	Commissioning targeted Jul-29F
China Railway/MBA	Kasai-Oriental	Potential 200–500ktpa, early-stage	No timeline disclosed
KoBold Metals	Mingomba	Potential >300ktpa, execution dependent	Early 2030s
Minera San Jorge	San Jorge	~40ktpa copper addition	~2030F
BHP/Lundin	Vicuña	~500ktpa peak copper output	First production expected from 2033F
KGHM/South32	Sierra Gorda Expansion	Brownfield throughput expansion	Decision expected later in 2026F
Lloyds/BCL	Panguna Restart	Large potential restart, uncertain	No restart date disclosed

Source: Various Source, BRIDS

Supply Concentration Risk: Operating Assets Remain Structurally Vulnerable

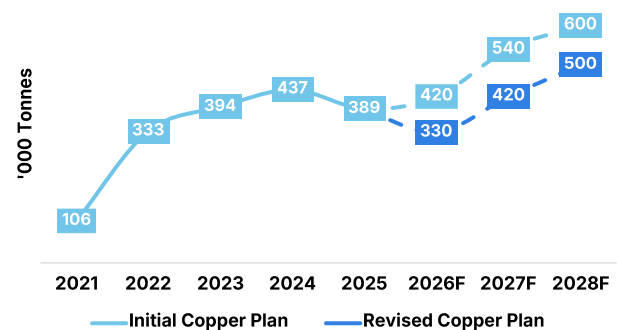
Copper's supply asymmetric is best illustrated by two of the world's largest producing assets. Freeport's Grasberg, initially expected to produce ~1.8 bn lb in FY25, saw output collapse to ~1.0 bn lb following the mud rush incident, with FY26F revised further to ~0.8 bn lb before a gradual recovery toward ~1.7 bn lb by FY30F (See Exh. 7). Kamoakakula tells a parallel story after producing 437 kt in FY24, actual FY25 output came at ~389kt miss versus original expectation, before recovering toward ~500kt by FY28F (See Exh. 8). Collectively, these two assets alone represent a near-term supply loss exceeding 500kt CuEq against prior mine plans, reinforcing copper's defining supply characteristics: new capacity takes years to deliver, while operating assets can be impaired almost immediately.

Exhibit 7. Grasberg revised copper production plan



Source: Freeport, BRIDS

Exhibit 8. Kamoakakula revised copper production plan

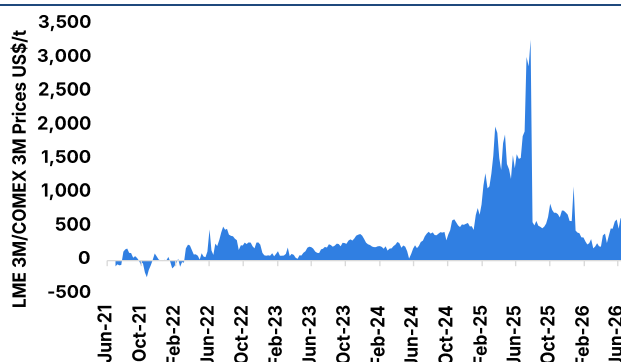


Source: Ivanhoe, BRIDS

US Tariff Risk Distorts Copper Trade Flows and Inventory Positioning

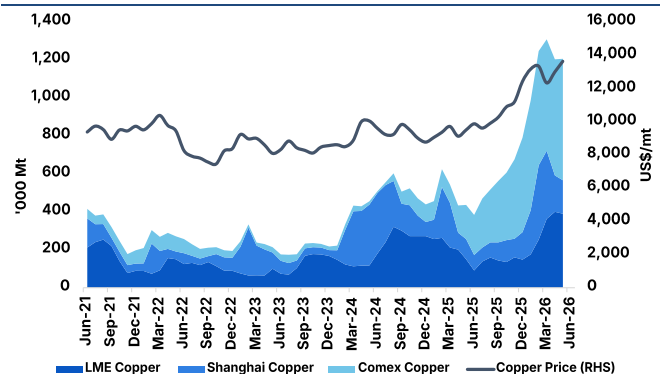
While refined copper cathode, concentrates, and scrap remain outside current Section 232 tariff scope, markets continue to price the risk of phased refined copper duties from FY27F. This has kept the US structurally bid for copper units, the CME premium over LME remained elevated at ~US\$577/t (~4.2% above LME 3M) in late May-26, sustaining a wide COMEX/LME arbitrage that continues pulling metal into the US (See Exh. 9). Concurrently, SHFE inventories moved lower while China Grade A cathode premia rose to ~US\$68/t, reflecting tighter domestic availability as invoice controls slowed local copper circulation (See Exh. 10). We view this dynamic as evidence of a market where tightness is increasingly regional and policy-driven rather than fundamental a distinction with material implications for near-term price discovery and LME benchmark reliability.

Exhibit 9. COMEX/LME arbitrage



Source: Bloomberg, BRIDS

Exhibit 10. Major exchange copper stock data

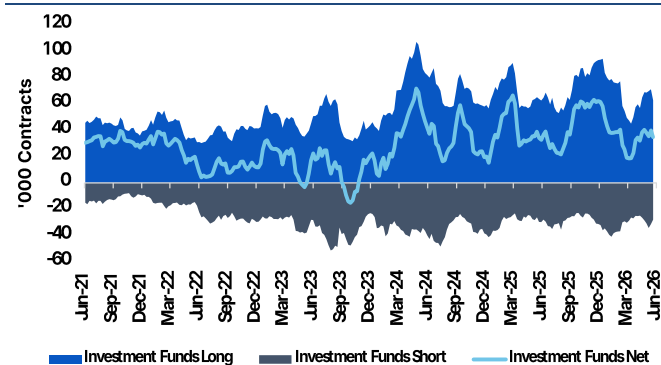


Source: Bloomberg, BRIDS

Speculative positioning adds a further support layer, though warrants monitoring.

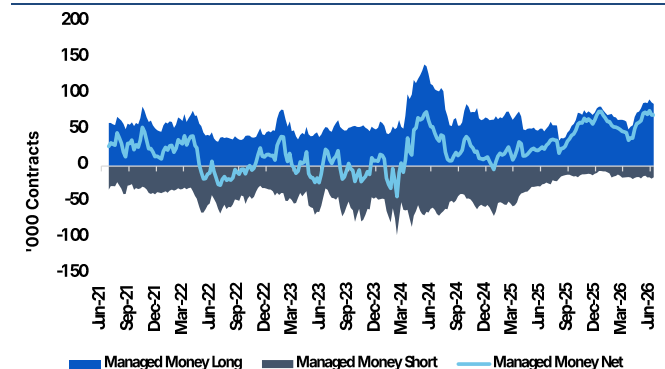
LME investment fund net longs peaked at ~69k contracts in May, while COMEX managed money longs reached ~88k contracts, both near multi-year highs confirming copper's status as the preferred macro scarcity trade among financial investors (See Exh. 11 & 12). Elevated positioning amplifies short-term volatility and creates unwind risk should tariff concerns fade or macro sentiment deteriorate. We view this as tactical rather than structural: with exchange inventory below long-term averages, mine supply constrained, and TC/RCs deeply negative, the medium-term risk-reward for copper remains skewed to the upside.

Exhibit 11. Investment fund LME positions



Source: Bloomberg, BRIDS

Exhibit 12. Managed money CTFC positions

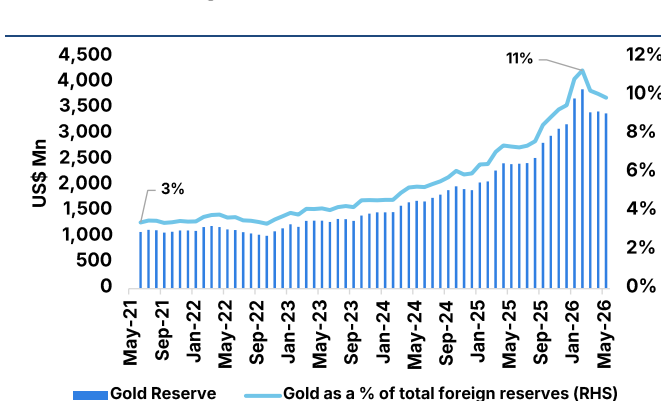


Source: Bloomberg, BRIDS

Central Bank Buying Provides a Structural Floor for Gold

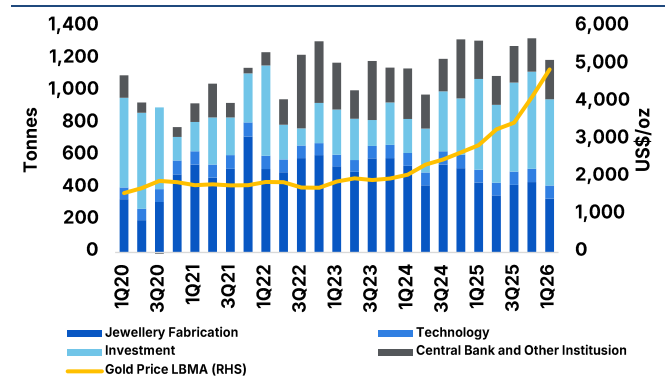
Gold's medium-term support is increasingly anchored by official-sector demand rather than jewelry or retail investment alone. Central banks resumed net purchases in April following the net sales recorded in March, with China adding 8t in April and a further 10t in May extending the PBoC's buying streak to 19 consecutive months and lifting official gold holdings to 2,332t, or ~8.9% of China's foreign reserves (Exhibit 13). We view central bank demand as structurally less price-sensitive than consumer demand, more closely linked to reserve diversification and geopolitical hedging. With 95% of central banks surveyed expecting global gold reserves to increase over the next 12 months, official-sector buying should remain an important floor for gold prices.

Exhibit 13. PBoC gold reserve



Source: Bloomberg, BRIDS

Exhibit 14. Gold demand holds as investment and central bank buying offset jewellery softness



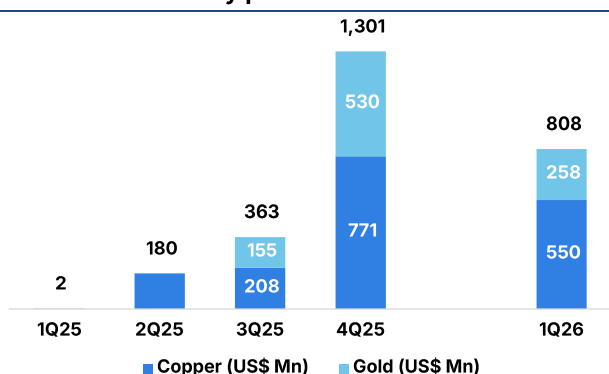
Source: World Gold Council, BRIDS

Business Update

Operational Recovery Marks the End of Phase 8 Transition.

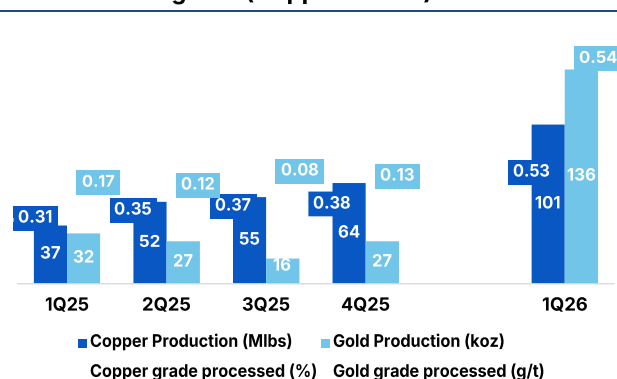
FY25 performance reflected a deliberate, mine-plan-driven production trough as Batu Hijau transitioned into Phase 8 activities were heavily weighted toward waste removal throughout the year, limiting fresh ore access to just ~1 mt in 1Q25 and forcing the mill to draw predominantly from low-grade Phase 7 stockpiles. This compressed copper grade processed to 0.31% and gold grade to 0.17 g/t in 1Q25 (vs 0.52% Cu and 0.65 g/t gold in 1Q24), driving a 47% yoy decline in copper-in-concentrate and 87% yoy decline gold-in-concentrate for FY25. The weakness was anticipated, structural in nature, and consistent with the transition pattern observed at prior phase cutbacks.

Exhibit 15. Revenue by portion



Source: AMMN

Exhibit 16. Tren grade (Copper & Gold)



Source: AMMN

1Q26 marked a decisive inflection.

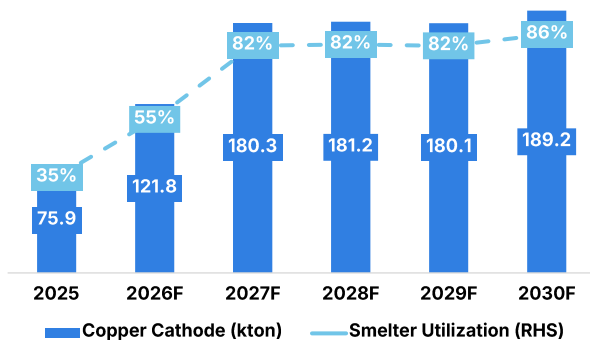
Fresh ore access expanded to 38 mt as Phase 8 mining progressed into low-to-medium grade ore body per plan, lifting Cu grade processed to 0.53% and Au grade to 0.54 g/t. Concentrate production surged to 167.7k dmt (+110% yoy), containing 101 Mlbs copper (+173% yoy) and 136 koz gold (+321% yoy). The smelter and PMR having completed annual maintenance in 1Q26 contributed 27.7 kt of copper cathode and 66.2koz refined gold during the quarter. We view 1Q26 as the operational inflection point that definitively closes the Phase 8 transition chapter, establishing the production and earnings recovery trajectory for FY26F onwards.

Transition to integrated refiner structurally

BPS trade data confirms that of the 480k dmt export quota secured on 31 Oct 2025, only 296.7k dmt (61.8%) was utilized prior to license expiry on 30 Apr 2026. The monthly shipment profile is instructive: exports peaked Dec25 (95k dmt) before falling to zero in Feb26, coinciding precisely with the planned smelter annual maintenance, confirming that the remaining 183.3k dmt was deliberately redirected as smelter feedstock rather than constrained by market demand. 1Q26 represents AMMN's final hybrid quarter: 41% of revenue (US\$334mn) still derived from concentrated sales, a revenue stream structurally closed as of 1 May 26. From 2QFY26F, all revenue is sourced exclusively from LME Grade A copper cathode and LBMA-standard refined gold.

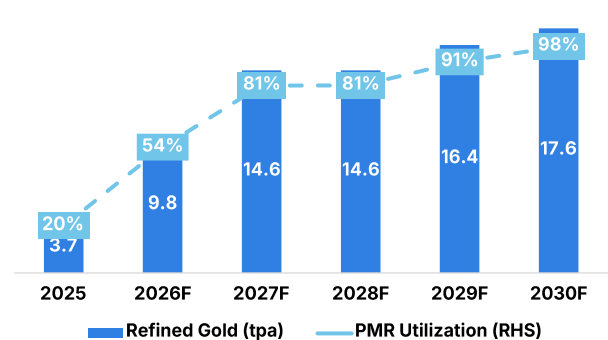
AMMN's downstream capacity is entering a multi-year ramp-up phase, turning the smelter and PMR from commissioning assets into core earnings drivers. Copper cathode output is expected to rise from 75.9kt in FY25 to 121.8kt in FY26F, before reaching 189.2kt by FY30F, supported by smelter utilization improving from 35% to 86%. A similar ramp-up is expected at the PMR, with refined gold output increasing from 3.7tpa in FY25 to 9.8tpa in FY26F and 17.6tpa by FY30F, as utilization moves from 20% to 98%. FY26F remains a transition year rather than full normalization, but the step-up from FY27F onward should structurally lift AMMN's revenue quality by shifting more volume into copper cathode and refined gold sales.

Exhibit 17. Copper smelter ramp-up lifts cathode output



Source: AMMN, BRIDS Estimates

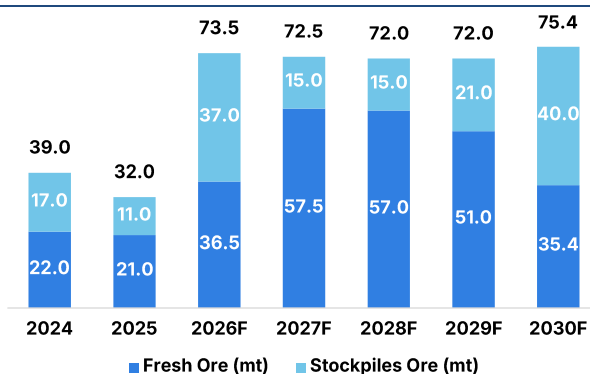
Exhibit 18. PMR ramp-up drives refined gold output



Source: AMMN, BRIDS Estimates

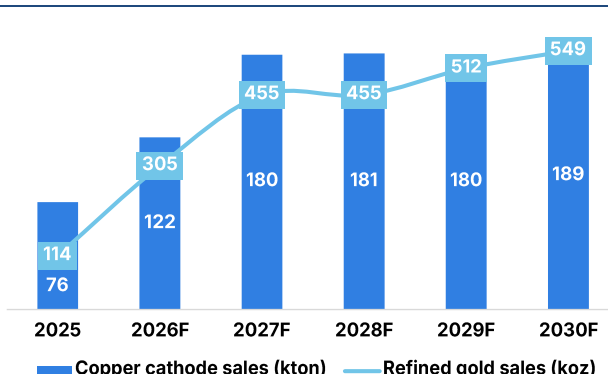
AMMN's operational recovery is underpinned by a sharper increase in mill throughput and a rising mix of downstream metal sales. Total throughput is projected to jump from 32Mt in FY25 to our forecast at 73.5Mt in FY26F, driven by both higher fresh ore access from Phase 8 and greater stockpile from Phase 7, before remaining broadly stable at 72-75Mt through FY30F. This feedstock base supports a step-up in copper cathode sales from 76kt to 122kt in FY26F and 189kt by FY30F, while refined gold sales rise from 114koz to 305 koz and ultimately 549koz over same period.

Exhibit 19. Mill throughput recovery by feed source



Source: AMMN, BRIDS Estimates

Exhibit 20. Cathode and refined gold sales ramp up



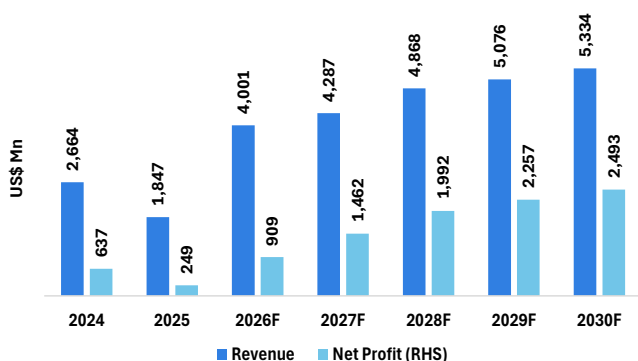
Source: AMMN, BRIDS Estimates

Earnings Outlook

We expect AMMN's earnings trajectory to inflect from FY26F (See Exh 23), driven by three catalysts: 1) higher Batu Hijau output as Phase 8 ore access improves, 2) smelter and PMR ramp-up shifting the sales mix toward copper cathode and refined gold, and 3) supportive copper and gold prices. We forecast revenue to increase to US\$4.00bn in FY26F (+117% yoy), from US\$1.85bn in FY25, before rising further to US\$4.29bn in FY27F and US\$4.87bn in FY28F. We expect revenue to continue expanding to US\$5.08bn/US\$5.33bn in 29F–FY30F, supported by higher refined product contribution and improving downstream utilization.

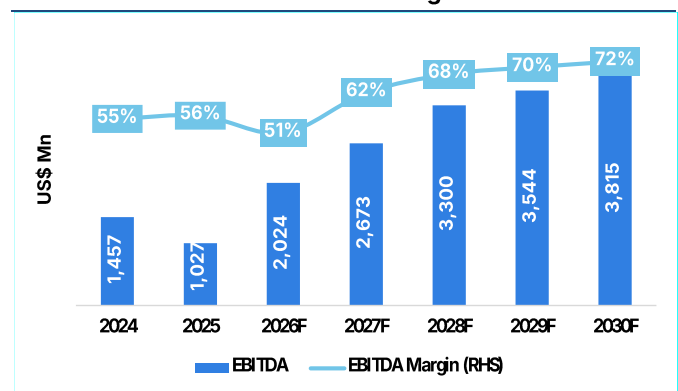
Our key modeling assumptions for FY26F–FY30F are: 1) concentrate production recovering to c.884ktdmt in FY26F, broadly in line with management's 900ktdmt guidance; 2) copper cathode sales increasing from c.122kt in FY26F to c.190kt by FY30F as smelter utilization improves; 3) copper in concentrate sales rising from c.187Mlbs in FY26F to c.211Mlbs by FY30F; and 4) refined gold sales increasing from c.305koz in FY26F to c.550koz by FY30F. These assumptions reflect AMMN's transition from a concentrate-led earnings base into a more integrated copper-gold refining model, with FY26F still carrying ramp-up risk as smelter utilization is assumed at c.65% before improving to c.80% in FY27F–FY28F.

Exhibit 21. Revenue and net profit trend



Source: AMMN, BRIDS Estimates

Exhibit 22. EBITDA and EBITDA Margin trend



Source: AMMN, BRIDS Estimates

We forecast gross profit to recover sharply to US\$1.71bn in FY26F from US\$836mn in FY25, with gross margin temporarily moderating to 43% as the company absorbs ramp-up costs. Expansion becomes visible from FY27F, with gross margin improving to 54% and reaching 61–65% by FY28F–FY30F, underpinned by higher smelter/PMR utilization, better cost absorption, and a larger refined product mix. EBITDA is forecast to nearly double to US\$2.02bn in FY26F (+97% yoy), rising to US\$2.67bn in FY27F and US\$3.30bn in FY28F, with EBITDA margin expanding from 51% to 62–72% over the period. COGS declining from US\$2.30bn to c.US\$1.9bn despite rising revenue confirms a structural improvement in earnings quality as transition-year cost pressure fades. Key earnings risks remain smelter downtime, copper price weakness, and royalty pressure under PP 19/2025.

Exhibit 23. Forecast Summary AMMN

Forecast Summary	2024A	2025A	2026F	2027F	2028F	2029F	2030F
Financial Highlight (US\$Mn)							
Revenue	2,664	1,847	4,001	4,287	4,868	5,076	5,334
Gross Profit	1,345	836	1,706	2,331	2,952	3,193	3,463
EBITDA	1,457	1,027	2,024	2,673	3,300	3,544	3,815
Operating Profit	1,224	719	1,579	2,194	2,805	3,034	3,291
Net Profit	637	249	909	1,462	1,992	2,257	2,493
Margin							
GPM	50.5%	45.3%	42.6%	54.4%	60.7%	62.9%	64.9%
EBITDA Margin	54.7%	55.6%	50.6%	62.4%	67.8%	69.8%	71.5%
OPM	46.0%	38.9%	39.5%	51.2%	57.6%	59.8%	61.7%
NPM	23.9%	13.5%	22.7%	34.1%	40.9%	44.5%	46.7%
Revenue Per Segment (US\$Mn)							
Copper	1,198	1,160	2,165	2,350	2,651	2,582	2,658
<i>% growth</i>	<i>4%</i>	<i>-3%</i>	<i>87%</i>	<i>9%</i>	<i>13%</i>	<i>-3%</i>	<i>3%</i>
<i>% portion</i>	<i>45%</i>	<i>63%</i>	<i>54%</i>	<i>55%</i>	<i>54%</i>	<i>51%</i>	<i>50%</i>
Cathode	-	806	1,240	2,350	2,651	2,582	2,658
Concentrate	1,198	354	925	-	-	-	-
Gold	1,465	687	1,836	1,937	2,217	2,494	2,676
<i>% growth</i>	<i>65%</i>	<i>-53%</i>	<i>167%</i>	<i>5%</i>	<i>14%</i>	<i>13%</i>	<i>7%</i>
<i>% portion</i>	<i>55%</i>	<i>37%</i>	<i>46%</i>	<i>45%</i>	<i>46%</i>	<i>49%</i>	<i>50%</i>
Refined	-	454	1,019	1,937	2,217	2,494	2,676
Concentrate	1,465	233	817	-	-	-	-
Operational Highlights							
Sales Volume							
Copper							
Concentrate (mlbs)	288	69	-	-	-	-	-
Cathode (mlbs)	-	167	207	397	444	441	463
Gold							
Concentrate (koz)	611	55	-	-	-	-	-
Refined (koz)	-	114	235	455	506	569	611
Average Selling Price							
Copper							
Concentrate (US\$/lbs)	4.2	5.1	-	-	-	-	-
Cathode (US\$/lbs)		4.8	6.0	5.9	6.0	5.9	5.7
Gold							
Concentrate (US\$/oz)	2,397	4,204	-	-	-	-	-
Refined (US\$/oz)		3,974	4,343	4,256	4,384	4,384	4,384

Source: AMMN, BRIDS Estimates

Valuation and rating

Based on our earnings forecast, AMMN currently trades at 6.7x FY26F EV/EBITDA, at a discount to global copper-gold peers' average of 9.1x. We believe current valuation has yet to fully reflect AMMN's FY26F earnings reset, driven by Phase 8 volume recovery, smelter/PMR ramp-up, and the shift toward higher-quality refined product sales.

Exhibit 24. AMMN DCF Valuation

DCF Calculation (US\$mn)	2025A	2026F	2027F	2028F	2029F	2030F
EBIT	323	1,186	1,909	2,608	2,951	3,268
Add (+) depreciation	308	444	479	496	510	524
Less (-) tax	(65)	(261)	(420)	(574)	(649)	(719)
Less (-) Capex	(1,424)	(498)	(305)	(318)	(284)	(266)
Change in WC	(683)	(212)	(101)	(115)	(49)	(81)
FCF	(1,540)	659	1,562	2,097	2,479	2,727
Discount Factor	1.0	1.1	1.3	1.4	1.6	1.8
Present Value	(1,540)	585	1,231	1,467	1,539	1,503
NPV Forecast	11,440					
Debt	-6,257					
Cash	1,173					
Equity Value (US\$mn)	6,355					
Equity Value (Rp Bn)	113,857					
Discount factor	15%					
Total equity value with Elang (IDR bn)	441,891					
Outstanding Share (bn)	72.52					
Target Price (Rp/sh)	6,000					

Source: BRIDS Estimates

Exhibit 25. WACC assumption for DCF

US\$ mn	2026F
Debt	6,257
Equity	6,389
Total	12,646
Beta	1.20
Risk Free	6.8%
Risk Premium	6.7%
Cost of Equity	14.9%
Cost of Debt	7.5%
Cost of Debt net tax	5.9%
Tax	22%
WACC	12.7%
Terminal Growth Rate	0%

Source: Bloomberg, BRIDS Estimates

We initiate coverage with a Buy rating and SOTP-based target price of Rp6,000. Our valuation is based on a SOTP framework, comprising Batu Hijau as the core operating cash-flow asset, smelter/PMR as downstream value-capture assets, and risk-adjusted Elang NAV as long-dated growth optionality, adjusted for net debt and corporate-level items. We use a WACC of c.12.7%, reflecting AMMN's Indonesia mining risk profile and project execution risk. Key catalysts include smelter utilization ramp-up, higher refined gold monetization, capex normalization, and further progress on Elang development. Downside risks include copper price correction, smelter downtime, processing plant delays, higher royalty burden, and slower Elang de-risking.

Exhibit 26. Elang Copper NAV Valuation

Elang Mine (Copper) Valuation	Unit
AMMN's Elang copper reserve (bn lbs)	17.78
Discount	30%
AMMN's Elang reserve (mn ton)	5.65
EV/Reserve multiple (per ton)	2,560
Total EV (US\$ mn)	14,452
Elang Equity Value (US\$ mn)	8,671
Elang Equity Value (Rp bn)	155,347

Source: Bloomberg, BRIDS Estimates

Exhibit 27. Elang Gold NAV Valuation

Elang Mine (Gold) Valuation	Unit
AMMN's Elang gold reserve (mn oz)	26.44
Discount	30%
AMMN's Elang reserve (mn oz)	18.51
EV/Reserve multiple (per oz)	1,260
Total EV (US\$ mn)	23,320
Elang Equity Value (US\$ mn)	13,992
Elang Equity Value (Rp bn)	250,668

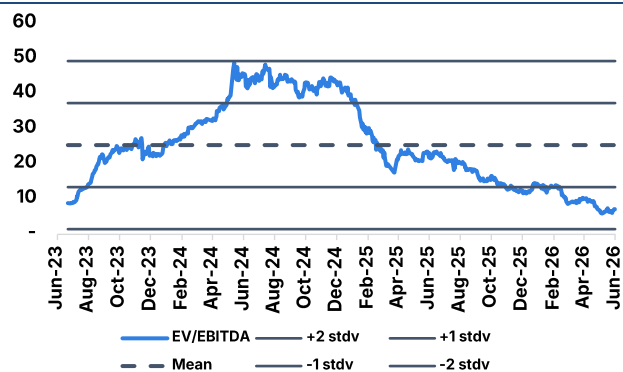
Source: Bloomberg, BRIDS Estimates

Exhibit 28. AMMN SOTP Valuation Summary

SOTP Valuation for AMMN	
Batu Hijau Mine with DCF (US\$mn)	6,355
Elang Mine (Copper) EV/Reserve (US\$mn)	8,671
Elang Mine (Gold) EV/Reserve (USDmn)	13,992
AMMN's total equity value with Elang Mine (US\$mn)	29,019
AMMN's total equity value with Elang Mine (Rp Bn)	519,872
Outstanding shares (Bn)	72.5
Fair Price (Rp/sh)	6,000

Source: Bloomberg, BRIDS Estimates

Exhibit 29. AMMN 5-year forward EV/EBITDA



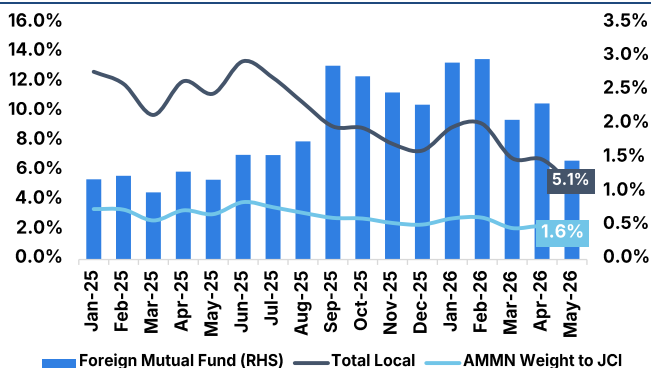
Source: Bloomberg, BRIDS Estimates

Exhibit 30. Peers' comparables

Ticker	Company	Mkt.Cap (USD mn.)	PE		EV/EBITDA		ROA		ROE	
			26F	27F	26F	27F	26F	27F	26F	27F
AMMN IJ	AMMAN MINERAL INTERNASIONAL	15,251	15.0	10.8	9.1	7.0	6.9	10.3	14.3	18.8
MDKA IJ	MERDEKA COPPER GOLD TBK PT	3,877	25.4	12.6	8.0	6.3	2.8	7.0	14.9	22.5
BRMS IJ	BUMI RESOURCES MINERALS TBK	5,062	31.5	31.5	25.1	19.9	7.5	8.2	9.5	9.9
ARCI IJ	ARCHI INDONESIA TBK PT	1,506	9.2	5.5	N/A	N/A	14.5	20.4	36.2	39.8
Domestic Average			22.0	16.5	16.5	13.1	8.3	11.8	20.2	24.1
2899 HK	ZIJIN MINING GROUP CO LTD-H	106,758	8.4	7.4	5.7	4.7	16.0	15.8	36.6	31.9
3993 HK	CMOC GROUP LTD-H	58,783	9.3	8.8	6.2	5.5	16.1	15.3	33.8	28.4
358 HK	JIANGXI COPPER CO LTD-H	21,524	8.6	8.1	9.1	8.7	N/A	N/A	13.6	15.2
1208 HK	MMG LTD	12,533	7.4	6.9	3.2	2.8	8.9	8.4	31.9	24.9
SFR AU	SANDFIRE RESOURCES LTD	6,438	19.4	12.1	7.8	5.6	14.5	21.3	16.4	21.6
Regional Average			10.6	8.7	6.4	5.5	13.9	15.2	26.5	24.4
FCX US	FREEPORT-MCMORAN INC	92,579	23.4	16.7	9.1	6.3	7.0	9.4	17.3	21.5
SCCO US	SOUTHERN COPPER CORP	148,986	24.2	26.1	14.1	14.8	27.3	23.9	49.3	38.6
ANTO LN	ANTOFAGASTA PLC	48,622	27.8	26.5	8.5	7.9	6.3	6.1	15.5	14.3
LUN CN	LUNDIN MINING CORP	20,903	18.7	17.6	8.4	7.6	9.1	6.9	19.3	16.1
IVN CN	IVANHOE MINES LTD-CLA	11,072	37.3	18.1	10.3	8.6	N/A	N/A	6.7	10.0
HBM CN	HUDBAY MINERALS INC	10,094	14.8	12.0	6.0	4.5	11.4	10.0	20.8	19.3
AAL LN	ANGLO AMERICAN PLC	57,635	27.4	19.8	8.4	6.8	2.8	4.4	9.0	10.3
TECK US	TECK RESOURCES LTD-CLS B	29,207	17.4	20.2	6.0	5.8	5.3	4.6	8.3	6.7
Global Average			23.9	19.6	8.9	7.8	9.9	9.3	18.3	17.1
Average.			19.4	15.6	9.1	7.7	10.7	11.5	21.2	20.7

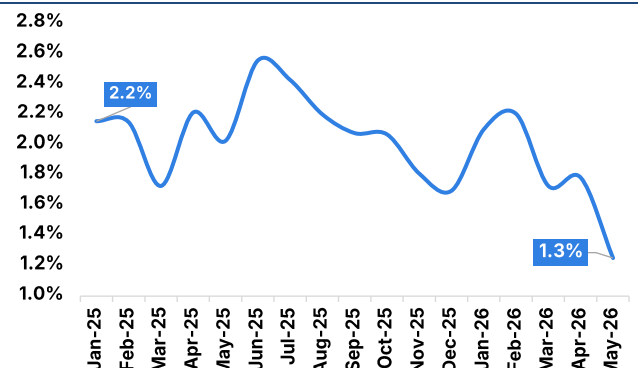
Source: Bloomberg, BRIDS

Exhibit 31. AMMN's domestic fund positioning



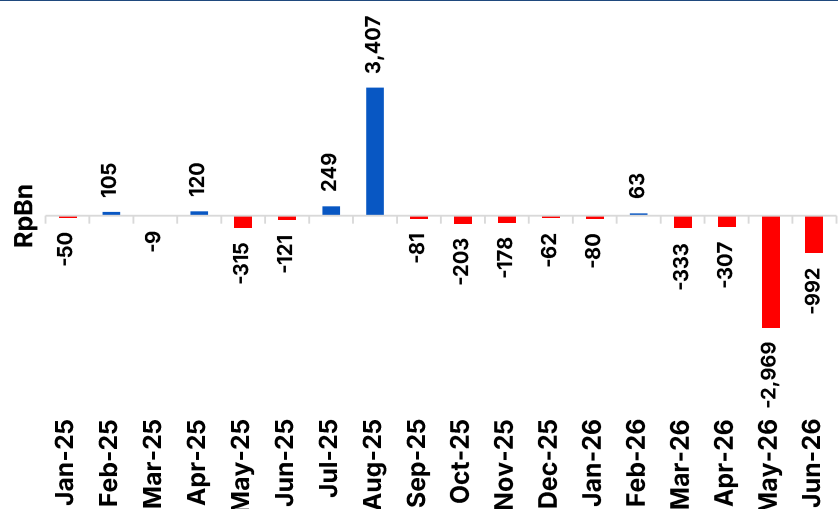
Source: Bloomberg, BRIDS Estimates

Exhibit 32. AMMN's foreign ownership exc. corporate



Source: Bloomberg, BRIDS Estimates

Exhibit 33. AMMN's monthly foreign flow (Rpbn)

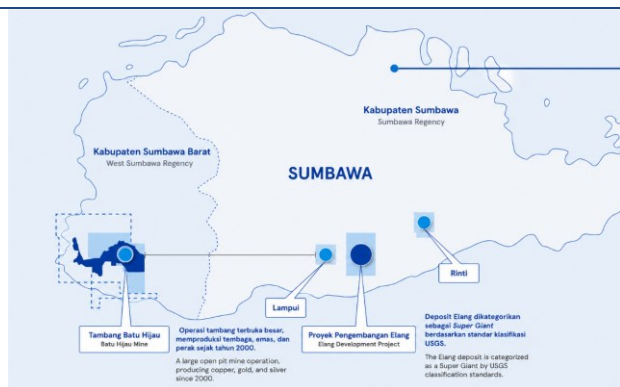


Source: Bloomberg, BRIDS Estimates

Company Overview

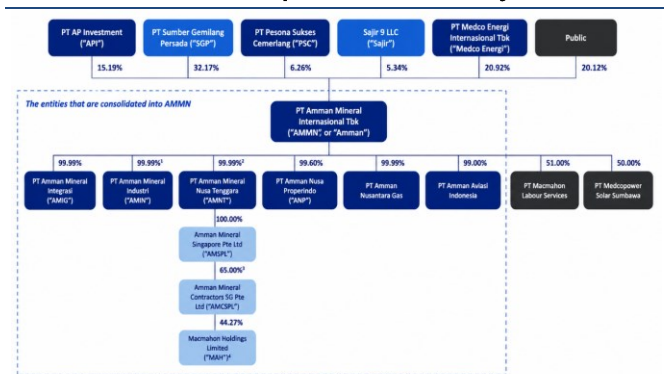
AMMN is an integrated copper-gold mining group in Indonesia, with operations spanning exploration, mine development, mining, processing, smelting, and precious metals refining. Through its key subsidiary, PT Amman Mineral Nusa Tenggara (AMNT), the company owns and operates the Batu Hijau mine, its main producing asset, and is developing the Elang project as its next long-term growth platform. Both assets are in West Sumbawa, West Nusa Tenggara, positioning AMMN as one of Indonesia's key integrated copper-gold producers with a transition from concentrate sales toward higher-value refined metal products.

Exhibit 34. AMMN Asset Location and Infrastructure



Source: AMMN

Exhibit 35. AMMN Group Structure and Key Subsidiaries



Source: AMMN

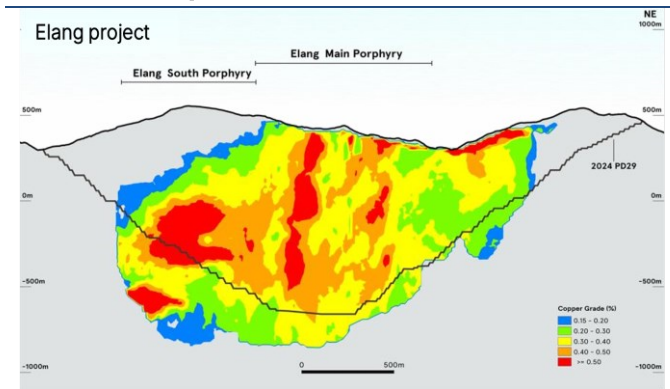
AMMN's long-term growth optionality resides in the Elang Project, a copper-gold porphyry deposit classified by the USGS as a *super-giant* deposit, located ~60 km east of Batu Hijau within the same IUPK concession. The 2025 Definitive Feasibility Study (DFS) established that Elang will fully leverage existing Batu Hijau infrastructure including the processing plant, smelter and PMR, power facilities, and Benete Port materially reducing greenfield capex requirements. Ore will be transported to the Batu Hijau processing plant via a ~54 km Overland Conveyor (OLC) system, with the Primary Access Road (PAR) extended to Elang as the main logistics corridor. Revision and optimization studies remain ongoing as of 1Q26. Elang holds reserves of 2,526 Mt (Cu 0.32%, Au 0.33 g/t) per the JORC Report dated 10 March 2025, containing 17.8 Blb copper and 26.4 Moz gold. Mining is planned to commence upon conclusion of Batu Hijau's operational life, with production projected to extend through at least 2050F.

Exhibit 36. Batu Hijau-Elang Mine Development Timeline

[illegible]

Source: AMMN

Exhibit 37. Elang Copper-Gold Mineralization Profile



Source: AMMN

Exhibit 38. Smelter and PMR Complex



Source: AMMN

Smelter and PMR

In 1Q26, the smelter underwent its first planned annual maintenance since commissioning, temporarily compressing utilization to ~50% copper cathode production reached 27,670 tonnes while the PMR yielded 66,209 oz of refined gold. With the concentrate export permit expiring in April 2026, the entire concentrate output is now directed to the smelter as captive feedstock. We project utilization to step up to ~65–70% in FY26F as the new processing plant commences commissioning in 3Q26F, expanding feedstock availability, with the Performance Guarantee Test (PGT) for remaining smelter and PMR areas targeted for completion by 3Q26F.

Exhibit 39. LNG regasification facility



Source: AMMN

Exhibit 40. Commissioning is on track for processing plant



Source: AMMN

Expansion Cycle Nearing Completion

AMMN is entering the final stage of its multi-year expansion cycle with the commissioning of its processing plant, targeted to achieve first ore to mills in 2Q26F and full completion by 3Q26F. The project will increase ore processing capacity from approximately 35-42 Mtpa to 85-90 Mtpa, supporting higher ore throughput from Batu Hijau Phase 8 and the future Elang development while fully supplying the 900 ktpa smelter. Together with the completed 450 MW Combined Cycle Power Plant (CCPP) and LNG infrastructure, AMMN has effectively completed its US\$3.5bn integrated expansion program. We expect annual capex to normalize around US\$1.0bn in FY25 to sustain levels of approximately US\$250mn from FY27F onward, significantly improving free cash flow generation.

Exhibit 41. Income Statement

Year to 31 Dec (US\$Mn)	2024A	2025A	2026F	2027F	2028F
Revenue	2,664	1,847	4,001	4,287	4,868
COGS	(1,319)	(1,011)	(2,295)	(1,956)	(1,915)
Gross profit	1,345	836	1,706	2,331	2,952
EBITDA	1,457	1,027	2,024	2,673	3,300
Oper. profit	1,194	707	1,535	2,148	2,758
Interest income	0	0	0	0	0
Interest expense	(284)	(386)	(375)	(265)	(176)
Forex Gain/(Loss)	0	0	0	0	0
Income From Assoc. Co's	(58)	2	26	26	26
Other Income (Expenses)	0	0	0	0	0
Pre-tax profit	853	323	1,186	1,909	2,608
Income tax	(211)	(65)	(261)	(420)	(574)
Minority interest	(5)	(9)	(16)	(27)	(42)
Net profit	637	249	909	1,462	1,992

Exhibit 42. Balance Sheet

Year to 31 Dec (US\$Mn)	2024A	2025A	2026F	2027F	2028F
Cash & cash equivalent	825	677	1,173	988	1,410
Receivables	271	611	556	595	676
Inventory	771	1,046	1,193	1,156	1,181
Other Curr. Asset	465	819	567	623	676
Fixed assets - Net	4,502	5,635	5,688	5,515	5,338
Other non-curr.asset	4,287	5,084	5,024	4,980	5,092
Total asset	11,121	13,871	14,202	13,857	14,373
ST Debt	476	552	537	378	252
Payables	610	587	389	331	325
Other Curr. Liabilities	71	272	128	158	188
Long Term Debt	3,809	5,881	5,721	4,034	2,684
Other LT. Liabilities	907	1,149	1,038	1,105	1,082
Total Liabilities	5,873	8,440	7,813	6,006	4,530
Shareholder's Funds	5,160	5,338	6,296	7,758	9,750
Minority interests	89	93	93	93	93
Total Equity & Liabilities	11,121	13,871	14,202	13,857	14,373

Exhibit 43. Cash Flow

Year to 31 Dec (US\$Mn)	2024A	2025A	2026F	2027F	2028F
Net income	637	249	909	1,462	1,992
Depreciation and Amort.	233	308	444	479	496
Change in Working Capital	(336)	(683)	(212)	(101)	(115)
Other Oper. Cash Flow	109	(118)	31	14	(21)
Operating Cash Flow	643	(244)	1,172	1,855	2,352
Capex	(1,797)	(1,424)	(498)	(305)	(318)
Others Inv. Cash Flow	(663)	(803)	59	45	(113)
Investing Cash Flow	(2,460)	(2,227)	(439)	(261)	(431)
Net change in debt	1,070	2,147	(175)	(1,845)	(1,476)
New Capital	3	4	0	0	0
Dividend payment	0	0	0	0	0
Other Fin. Cash Flow	184	171	(62)	66	(22)
Financing Cash Flow	1,257	2,322	(237)	(1,779)	(1,499)
Net Change in Cash	(560)	(148)	496	(185)	422
Cash - begin of the year	1,384	825	677	1,173	988
Cash - end of the year	825	677	1,173	988	1,410

Exhibit 44. Key Ratio

Year to 31 Dec	2024A	2025A	2026F	2027F	2028F
Growth (%)					
Sales	31.0	(30.7)	116.7	7.1	13.6
EBITDA	49.3	(29.5)	(97.0)	(32.1)	(23.5)
Operating profit	54.2	(40.8)	117.1	39.9	28.4
Net profit	152.6	(60.9)	265.1	60.9	36.2
Profitability (%)					
Gross margin	50.5	45.3	42.6	54.4	60.7
EBITDA margin	54.7	55.6	50.6	62.4	67.8
Operating margin	44.8	38.3	38.4	50.1	56.7
Net margin	23.9	13.5	22.7	34.1	40.9
ROAA	6.3	2.0	6.5	10.4	14.1
ROAE	13.1	4.7	15.6	20.8	22.8
Leverage					
Net Gearing (x)	0.7	1.1	0.8	0.4	0.2
Interest Coverage (x)	4.2	1.8	4.1	8.1	15.7

Source: AMMN, BRIDS Estimates

Equity Research – Company Update

Monday, 29 June 2026

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INVESTMENT RATING

BUY	Expected total return of 10% or more within a 12-month period
HOLD	Expected total return between -10% and 10% within a 12-month period
SELL	Expected total return of -10% or worse within a 12-month period

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